

High-Level Project Description – Microsoft World Wide Licensing Models configuration framework

Project Dates:

Project Type: Traditional (Predictive)

Role: Group Product Manager

The objective is to create a single program licensing framework across all segments / businesses at Microsoft and slowly migrate customers from existing programs to new licensing program models. The goal of this project is to reduce Microsoft's licensing complexity in the Enterprise licensing channel thus enhancing the customer/partner experience.

Initiating:

I worked with various Microsoft Teams, all positioned to impact this project with World Wide implications for Customer/Partner Experience, including working with the overall Programs Team, the Microsoft Segments (e.g. SMB, Enterprise, etc.), peer teams such as Product Licensing, Channel Strategy, Public Sector as well as World Wide Operations to standardize the program licensing models we employ across all of WWLP.

Planning:

I facilitated a formal discovery session guided by first determining the questions that need to be asked/answered and decide what we want to know. I defined the project scope through iterative discussions and validated it with stakeholders. I developed a work breakdown structure (WBS), including request for support of a contractor, project manager with estimated effort based on a fixed hourly rate model, and created the schedule and cost baseline. A resource management plan was established, including the use of a contractor along with support from peer organizations. With the support of senior Microsoft Executives given the impact to billions of \$s of revenue in the channel, I created a communications management plan to provide consistent updates and feedback loops through formal meetings and written summaries.

Determined the questions that need to be asked/answered and decide what we want to know:

- a. How many license platforms exist, what are they and what are the key components that make them 'platforms' instead of programs
- b. Within each platform, how many programs exist
- c. What are the key attributes of each program (e.g. perpetual/non-perpetual, direct/indirect, WW/regional/local) and how do the programs differ one from another
- d. How much revenue are we generating for each platform and where possible for each program
- e. What products are licensed via each program
- f. How many programs are indirect/pure/direct
- g. Two tier vs. single tier
- h. What programs have largest revenue
- i. What programs have largest revenue by region
- j. Which channel generated the most revenue?
- k. What are the number of broken agreements (operational)
- l. What is the number of pages in programs
- m. What are the pricing relationships between programs
- n. What programs require business desk empowerment

Executing:

- 0) Extensive organizational research to provide answers to the assessment phase questions that informed next steps
 - 1) Compiled list of WWLP programs from sources categorized as suggested previously
 - 2) Validated List with constituents for inclusiveness
 - 3) Mapped programs to a higher-level platform name
 - 4) Determined High level list of Attributes to define the programs
 - 5) Created a tree structure for each program Attribute
 - 6) Validated tree structure for program attribute WWLP constituents
 - 7) Completed information for all programs and categories on the list.
 - 8) Determined Organizational Goals, Objectives, strategies
-
- **Created a single program licensing framework across all segments / businesses**
 - **Eliminated monolithic total program conversions**
 - **Pre-designed models and templates that snap to the needs of different verticals/segments**
 - **Slowly migrated customers from existing programs to new program models**

Monitoring and Controlling:

Throughout the project, I, with support from my contractor, project manager, tracked work progress and adjusted the project plan as new insights emerged. I managed scope adherence and ensured schedule. That project plan, that included Discovery, Portfolio Assessment, Framework Analysis, Partial Portfolio Standardization, New Program Model change process development, and finally a Complete Portfolio Standardization phases, contained milestones that were vetted, reviewed and approved by the appropriate stakeholder. For example:

Milestone (End of Day 10/10):

1. Partial Portfolio Table filled out for General Manager for Meeting with WWLP VP on 10/11
 - a. Categories are Platform, Program Name, Description, Channel Model, Geography Owner, Revenue
 - b. For Canadian Healthcare (EA, EAS, Select) programs fill in complete row

Any changes—typically resulting from clarification or evolving stakeholder preferences—were assessed and incorporated through formal change control procedures including GMs and VPs of the impacted segments.

To mitigate risks, we determined statistics for conversations with regional program owners. We created a plan for shutting down in Microsoft's systems (making unorderable while allowing for the agreements in place to process) communication to ROCs, Partners and Customers. Using the Bus Desk or MR readiness to keep the customer whole.

Closing:

I finalized the project by obtaining formal acceptance from the sponsor, transferring all knowledge and documentation to Archives, going on a tour (e.g. Singapore, Barcelona, and other) communicating to Regional Operating Centers (ROCs), Partners, Customers, slowly migrating customers from existing programs to new program models. Operational Savings (Price Points) were that the Portfolio of WWLP Programs' comprehensive inventory of Programs and Variations went from (107-26) / 107 = 76% Decrease in Programs and the Price Points reduced from (5,781, 969 - 5,373,342) / 5,781,969 = 7% Decrease.

Deliverables:

The following pieces of data were delivered by the project:

Portfolio of WWLP Programs

- Comprehensive inventory of WWLP Programs and Variations

Analysis

- Excel Pivot Table by categories of Platform, Program, Price Points, Segments, Verticals, etc.
- "Heat Maps", "Bubble Charts or Equivalents
- List of Attributes to Define the Programs
- Tree Structure for each attribute

Framework

- LPM of 20 Components with Attributes
 - after applying a Configuration Modeling approach to describe the portfolio

Communication Plan

- Regional Operating Centers (ROCs)
- Partners
- Customers

Taxonomy

- A taxonomy is a structure for providing guidance over bits of information that relate to a specific context. It shows the user the groupings and relationships that can emerge from information in many patterns. Users can either zoom down to fine grained levels to pin down exact items, or they can scan and highlight different parts of the system. This process enables the potential creation of knowledge through open associations of relevant material.

Microsoft/Group Product Manager WWLP/ Licensing Program Models (LPM)

At the time, 16B\$+ of Microsoft's revenue and 70+ products were sold through the Volume Licensing channel in the form of software licensing programs which must address specific segment requirements like channel, monetization, and pricing.

As a Group Product Manager, World Wide Licensing & Pricing Division, a Technical Product Manager, I was responsible for overseeing a team maintaining more than 100 global software licensing programs (including development of purchase processes, contracts and agreements, fulfillment rules, business policy, and price list maintenance,) necessary for monetizing the intellectual property of products sold through the volume licensing channel.

Program Examples

CAISA 14 → 2	➤ Campus 3.X ➤ School 3.x • Academic Agreement • Academic Subscription Order 3.1 • Academic Subscription Order 3.2 • APAC Campus Agreement 3.2 • APAC School Agreement 3.2 • Campus 1 • Campus 2 • Campus 3.1* • EMEA Campus Agreement 3.2 • EMEA School Agreement 3.2 • LATAM Campus Agreement 3.2 • LATAM School Agreement 3.2 • MSKK School Agreement 3.2 • School 1
EAS/Volume Sub. 7 → 2	➤ Enterprise Subscription 6.x ➤ Volume Subscription • Brazil Government Subscription • Enterprise Annuity 2.0 • Enterprise Annuity Subscription • Enterprise Subscription 1 • GOAL • Government Open Annuity • Healthcare Enterprise Subscription
Govt. Integrator 7 → 1	➤ Government Integrator • Asia Government • GEA (Government EA) • GIA Enterprise • GIA GSA (Government Integrator Agreement Government Services Admin – Includes Select GSA) • GIA Lot Purchase • GIA Select • Government Integrated Agreement (GIA) Enterprise Subscription

*Identified as unique in MS Sales

EA 8 → 4	➤ EA 3+2 ➤ Enterprise 6 (Direct) ➤ Enterprise 6 (Indirect) ➤ EA Outsourcer Enrollment • EA 200 • Enterprise 4 • Enterprise 5 • FIVE Year EA • Healthcare Enterprise • NZ Q2020 EA • Private Finance Initiative (PFI) • US Government (EA, Select Based)
SPLA 4 → 2	➤ SPLA ➤ HVMS • Academic SPLA • Application Service Provider (ASP) • eSPLA • SPLA Reseller Agreement
ISV 4 → 1	➤ ISV Royalty Program 3.X • Academic ISV • ISV Royalty Program 2.0 • Product Integration Program (PIP) • Visual Basic for Applications (VBA)
Misc. 2 → 2	➤ IPTV (new) ➤ Rental ➤ Hierarchical Model • Managed PC amendment - Services Provider Licensing Agreement (SPLA) • Sub 250 EA*

**Some Sub 250 customers may move to OV Government

Legend:

➤ Model
• Program Identified for Transition

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Program Examples (Continued)

Open / GovOLP 10 → 4	➤ Gov. Open License Prog (8 versions to 1) ➤ Open Business 6 ➤ Open Volume 6 ➤ Academic Open 6 License • Gov Open License Program (8 versions) • Open 6 (EMEA – contains 1 extra level – i.e., Open Level B) • Open Government Direct
Select 6 → 3	➤ Academic Select ➤ Select 6.X ➤ Select Outsourcer Enroll. • Direct Select • Healthcare Select • Select Local • Select 3 • Select 4 • Select 5
OV 9 → 4	➤ Open Value Companywide ➤ Open Value Non-Companywide ➤ Open Value Subscription ➤ Open Value Government • EASO (SMB Promo) • Enterprise 100 • Multi-Year Open License (MYO) • Open License Value 1.0 • Open License Value 1.0 (Local Korea) • Open Subscription License (1.0) • Open Sub. License (OSL 2.0, 2.5, SME pilot) • Open Sub. License (OSL Korea Version) • Open Subscription License 6.0

Other	• 501(c)3 • Multi-affiliate Billing • Unrestricted Access Framework • Infrastructure Enterprise Agreement • CSP • Perfect Game • Open 8 SQL Runtime License • Retail EA • Subscription & Annuity 2 • Visual Studio Industry Partner Program (VSIP) • OLE → PIPC (OEM Program) • Services Agreement
TBD	• Dept. Individual Standing Offer (DISO) • Referral • Special Agreement (SPAG) • Open Charity • Open Donations • SLG EA • SLG EAS • SLG Academic Select • SLG Select

Legend:

➤ Model
• Program Identified for Transition

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Customers and Partners, made up of Enterprise, Mid-market and Small Business Segments, Public Sector and 3rd party verticals, described licensing complexity (100+ Licensing Program Models) and lack of licensing flexibility as key drivers of the customers' dissatisfaction in Microsoft's 16B\$ Volume Licensing Channel.

Licensing – a top CPE Issue

Licensing complexity, lack of flexibility and price/value are the key drivers of customer DSAT. Swing voter analysis highlights the same issues.

1. PUR complexity
 - Licensing coverage, expiry and device rights
 - unclear
 - Monitoring changes to PURs
2. Program complexity
 - Licensing program choices
 - Matching program to needs
 - Frequent changes to programs
3. Lack of reseller and MS knowledge:
 - Ability to explain PURs, programs and product options
 - Ability to find the right product, solution and upgrade approach
 - Inconsistency of information communicated by different contacts/partners

Voice of the Customer: Licensing Pain Points Breakdown of Negative Comments by Segment

Customer Pain Point	30%	43%	37%	36%
Pre Sales				
License Process	9%	8%	7%	
Guidance	4%	4%	4%	
Clarity of License/Options	25%	25%	21%	
Appropriateness to Business/Industry/Culture	18%	12%	15%	
Sales				
Pricing/Value	21%	32%	42%	
Post-Sales				
Management	4%	4%	5%	
Changes to Licensing Policy	6%	6%	3%	
Flexibility of Licensing Terms	13%	9%	3%	

Source: analysis of negative comments/themes from FY '05 WWCPSS Digitas verbatim analysis *

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Existing VL programs were complex to build, explain, sell, change and administer.

License Programs Models (LPM) – Problem Statement

Problem/Opportunity: Current Programs are complex to build, complex to sell, and complex to administer.

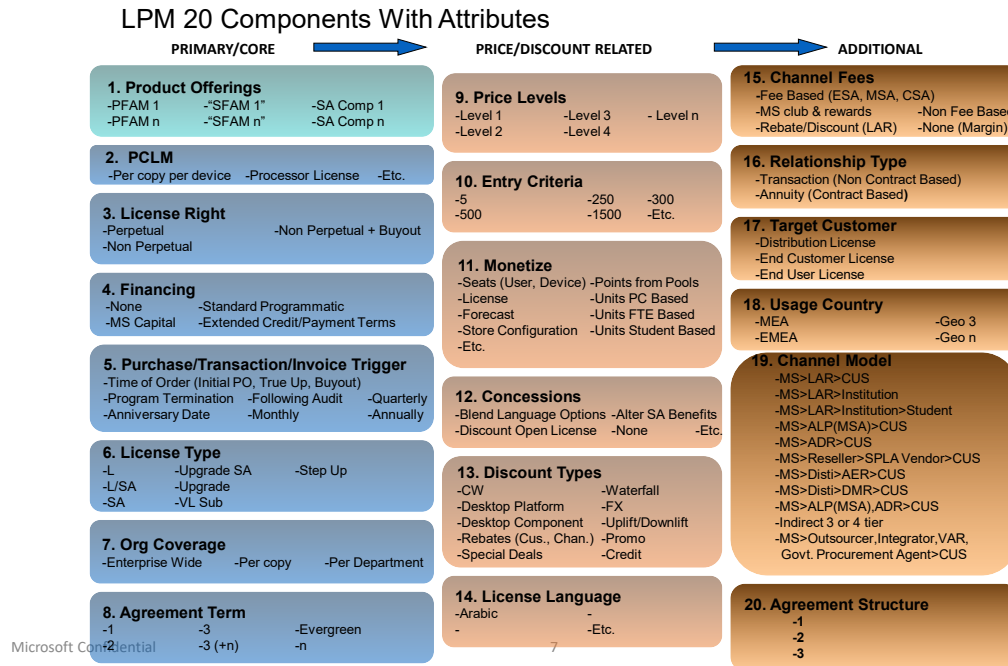
Situation

- Each program designed and built out as a custom implementation
 - No pan-program licensing framework exists
 - Similar program attributes vary program to program
 - Business rules inconsistent and often with opaque origins
- Program changes often require systems level changes
 - Program attributes are embedded in systems
- Time to market concerns often result in 'bending' an existing program to meet a new market
 - "When all you have is a hammer, everything looks like a nail"
- Regional programs and point solutions often result in 'program islands' requiring manual or out of band processing
 - ISV / SPLA
- Licensing policy and business rules are voluminous and complex

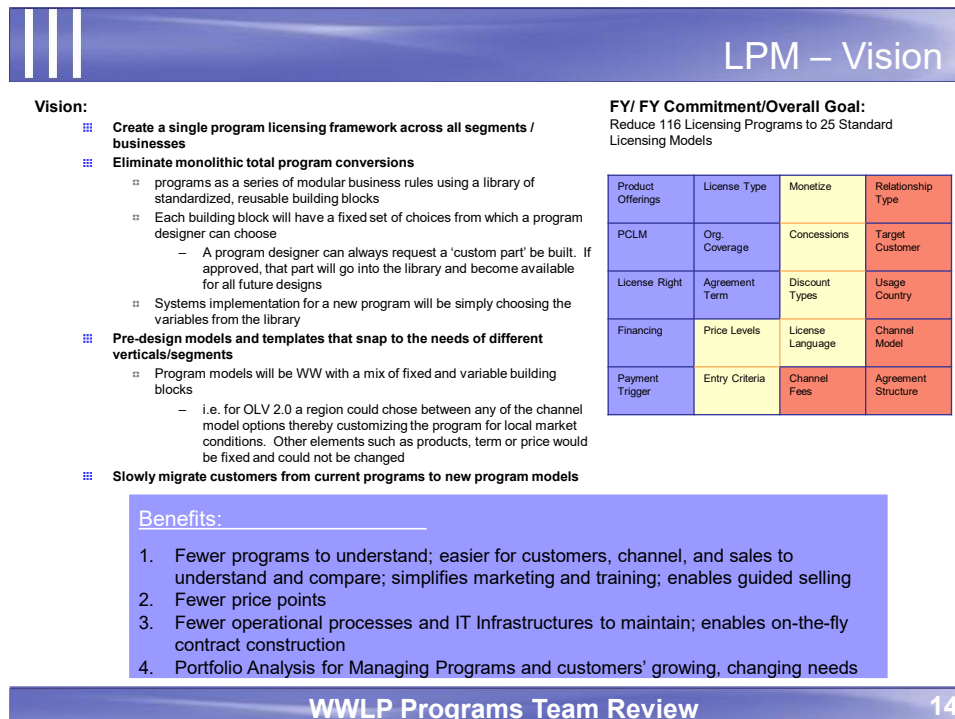
Impacts

- Slow to market
 - 18 – 29 month development cycle
- Complexity and volume of program offerings lead to customer, partner, field confusion
 - Varying agreement architectures, terms & conditions, unclear market applicability confuse, confound and frustrate
- Complexity creates need for experts to guide field, ROCs and customers through offerings and options
 - Burgeoning analyst community, Outsourcers, Programs experts, Licensing Executives, Licensing Specialists, etc.
- Program proliferation
 - Each new opportunity requires a new program
 - Each new program requires a new system

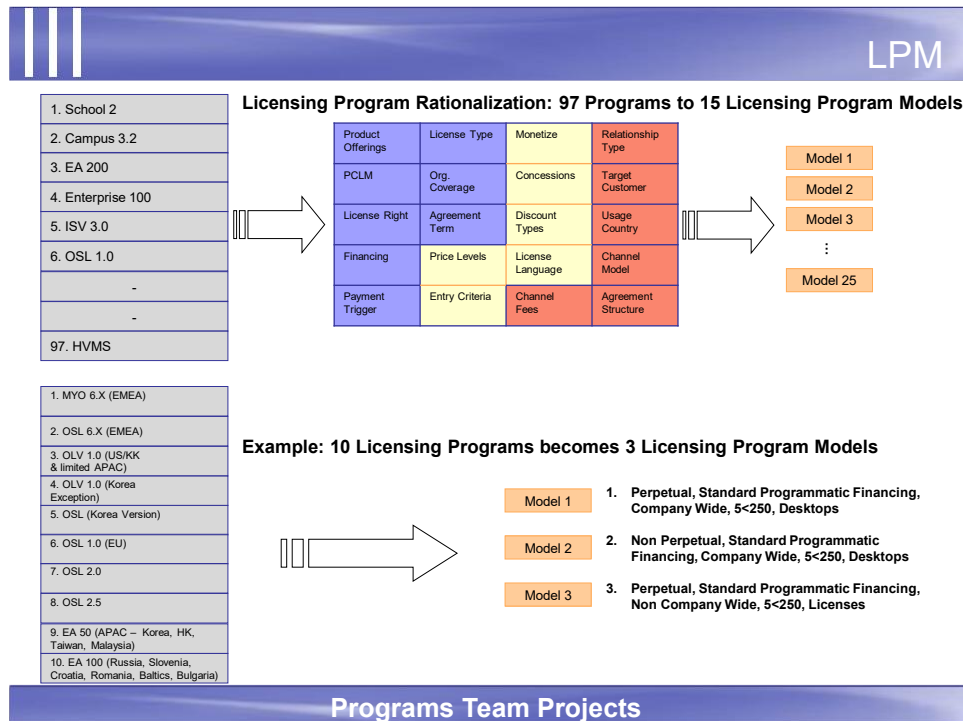
Employing a configuration modeling approach, I determined that Volume Licensing can be described as a framework of organizational characteristics like size and type of organization (e.g. commercial, government, nonprofit, academic), products to license (e.g. server, desktop office suite and OS, subscription to cloud services), and way in which products are used (e.g. call center, concurrent).



This disaggregation can lead to simpler, fewer models and consequently customer benefits

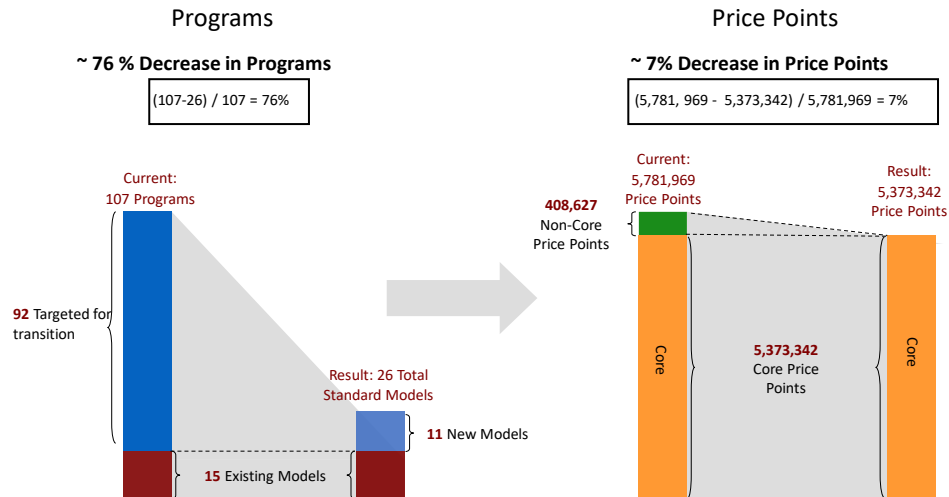


I developed a strategy employing these configurable volume licensing program models while standardizing the existing worldwide license models used across the channel (VL). I built a presentation deck detailing how 80% of the existing 100+ LPM were reduced to and fit into a final 16 models. I went on to communicate the strategy and approach to Business Development world-wide, Microsoft representatives in North America, Latin America (Ft. Lauderdale, Florida), Europe (Barcelona, Spain), and Asia (Singapore)



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Operational Savings (Price Points)



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Results of strategy were presented by my Division VP to Microsoft's COO and other senior executives and adopted as a corporate initiative as its Implementation led to improved, critically important, Microsoft Customer Partner Experience business metrics. I received a substantial merit increase and a top 10% ranking in my next performance review